

**UNITED STATES
PATENT AND TRADEMARK OFFICE**



2024 PPAC Annual Report

November 21, 2024

Patent Public Advisory Committee meeting



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PATENT AND TRADEMARK OFFICE ®

Agenda

- Introduction (Lolita Darden)
- PACs 25th Anniversary (Olivia Tsai)
- Rulemaking activities (Olivia Tsai)
- Finance and conversation regarding sequestration (Suzanne Harrison and Eb Bright)
- Outreach (Lateef Mtima)
- Pendency and Quality (Heidi Nebel)
- Patent Trial and Appeal Board (Henry Hadad)
- FDA (Henry Hadad)
- Artificial Intelligence (Marvin Slepian)
- Information Technology Management (Charles Duan)

Introduction

- PPAC Organizing Statute
 - 35 U.S. Code § 5 - Patent and Trademark Office Public Advisory Committees
- PPAC Organizing Statute
 - (d) Each Advisory Committee shall—
 - (1)review the policies, goals, performance, budget, and user fees of the United States Patent and Trademark Office with respect to patents, in the case of the Patent Public Advisory Committee, and with respect to Trademarks, in the case of the Trademark Public Advisory Committee, and advise the Director on these matters;
 - (2)within 60 days after the end of each fiscal year—
 - (A)prepare an annual report on the matters referred to in paragraph (1);
 - (B)transmit the report to the Secretary of Commerce, the President, and the Committees on the Judiciary of the Senate and the House of Representatives; and
 - (C)publish the report in the Official Gazette of the United States Patent and Trademark Office.

Celebrating 25 Years of USPTO's Public Advisory Committees: A legacy of excellence and innovation

Key Takeaways

- Established 25 years ago, the PPAC is comprised of IP leaders with substantial background and achievement from diverse industries.
- The PPAC serves in an advisory capacity to provide valuable external input to enhance the USPTO work.

Rulemaking activities

General rulemaking timeline



FY 2024: Volume of USPTO notices in the Federal Register and written comments received

Type of notice	# Notices	# Comments
Final rule	6	N/A
NPRM	9	553
Request for comments	11	194
Guidance	7	90
Total	33	837

Key Takeaways

- The PPAC appreciates that discussion on the especially complex rulemaking issues of the Patent Trial and Appeal Board Rules of Practice for Briefing Discretionary Denial Issues, and Rules for 325(d) Considerations, Instituting Parallel and Serial Petitions, and Termination Due to Settlement Agreement are continually evolving and therefore encourage careful consideration and collaboration for a balanced solution.

PPAC outreach, education, and inclusive innovation

Key Takeaways and Recommendations

- The USPTO continues to be successful in increasing its public outreach, education, and pro bono support efforts, and in effectively reaching students, practitioners, and communities in underrepresented geographies and demographics. Through the NSII, as implemented through the OPE and the forthcoming COOs, the USPTO has devised a comprehensive strategy through which to build upon this success, and to achieve the UAIA's mandate to “unleash every American’s ability to fully take part in the innovation economy.” Properly resourced and consistently pursued, the NSII will achieve historic growth in demographic and geographic participation in the national innovation ecosystem to ***achieve unprecedented increases in the national economic development and GDP.***



Key takeaways and recommendations cont.

- In conjunction with the OPE's provision of innovation education and support to the public, the PPAC recommends that the OPE consult and collaborate with target communities and groups to ***develop preliminary assessment metrics***, to ensure the efficacy of its present initiatives and to further inform the USPTO public outreach and inclusivity strategies and goals.
- Through the OPE, the PPAC encourages the USPTO to continue to coordinate its network of public outreach and education initiatives, to ***maximize program efficiencies and outcomes***.
- In furtherance of the NSII, the PPAC recommends that the OPE ***enlist CP in coordinating the USPTO's public outreach and education framework*** with private sector IP public education, inclusivity, and entrepreneurial support initiatives to reinforce and enhance the NSII.

Being good stewards: finance

Key Takeaways and Recommendations

- The USPTO is in good financial shape today. The PPAC supports resource allocations to address pendency and IT infrastructure needs. The vast majority of patent spending supports examination. The agency should set success criteria and periodically evaluate new, non-examination spending to avoid unproductive non-examination spending.
- The USPTO and Congress must take steps to resolve sequestration risks and ensure that all fees collected remain in the agency and are spent predominately on the examination and adjudication of IP rights.
- The PPAC supports renewal of agency fee setting authority and is committed to working with the USPTO to continuously improve the rationale, transparency and objectives of future fee increases.



Key takeaways and recommendations

cont.

- The USPTO's long-term fiscal stability is vital. Ensuring that the USPTO is financially positioned with adequate resources for patent examination and other operations is of nationwide importance as explained above. In particular, the PPAC recommends Congress:
 - o promptly enact appropriations to avoid shutdowns or continuing resolutions that force the USPTO to dip into its operating reserve,
 - o appropriate or otherwise find a way forward on the approximately \$950M in unavailable but previously collected patent fees.
- The USPTO must actively avoid sequestration. The PPAC supports that Congress and the USPTO taking preemptive measures to remove the agency from the sequestration process. Patent stakeholders must have confidence that fees voluntarily paid for patent related services are being used to provide those services and not diverted to other, unrelated government purposes.
- The USPTO must have fee setting authority renewed by Congress in 2026 or sooner to ensure the agency can continue to operate at a high level. The PPAC worked with the USPTO through the current fee setting process and is eager to continue working with the USPTO to further improve the rationale, transparency and objectives of future fee increases.
- Resolving sequestration and the voluntary nature of fees paid by patent applicants are questions that remain. The PPAC encourages the USPTO and Congress to mitigate or remove the risk of voluntary patent fees being withheld from the agency.



Pendency and Quality

Key Takeaways and Recommendations

- The Patent Office is experiencing an unprecedented unexamined inventory that will require a multi-faceted approach to manage, including massive hiring, which adds significant compensation costs and case inventory examination challenges. The PPAC recommends the USPTO continue to monitor and balance hiring needs against the Office's financial stability consistent with the Office's core mission of issuing robust and reliable patents.
- Care must be taken with additional hires to ensure that training (which will require additional work for current Examiners) is not curtailed, particularly in light of the current small declines in patent examination satisfaction.



Key takeaways and recommendations cont.

- Previous Patent Examiner incentives to increase workload and turnaround and additional investment in IT have shown limited success, although gainsharing award and 1:1 did increase production slightly, and 2023 was the first production increase since 2019 and largest since 2015. The PPAC recommends the USPTO to continue to explore additional incentive alternatives.
- Patent Quality continues to be undermined by the PTAB invalidation rate, remains over 50% for claims that are reviewed in Post Grant challenges, and the PPAC recommends the patent office to continue to study this trend and publish all data on conclusions that are reached, which will help educate stakeholders as to likely causes for invalidation and help to close the loop.



Patent Trial and Appeal Board

Key Takeaways and Recommendations

- The risk of some or all patent claims challenged in IPRs being invalidated remains significant. The USPTO should continue to study and release data to improve patent quality and decrease PTAB invalidations, and identify key areas for future study based on this data. Particular areas of focus may include search capabilities, potential for hindsight bias, and the use of expert testimony during IPR proceedings consistent with statutes.
- The PPAC encourages the USPTO to consider whether the doctrine of inequitable conduct, as currently applied, is encouraging well-intentioned behavior that ultimately decreases the quality of examination and any resulting patents.
- The PPAC encourages the USPTO to consider whether more robust use of section 325(d), with applicable rules that would encourage patent applicants to highlight a limited number of references during examination, would improve patent quality.



FDA

- The USPTO is an important source of empirical data in support of patent policy- PPAC applauds the June 2024 release of the USPTO/FDA drug patent & exclusivity study
 - **Key Takeaway:** The USPTO should continue to generate robust, accurate, and unbiased evidence and be an important source of the evidence that informs intellectual property policy discussions.

Artificial Intelligence and its impact on the USPTO and Patents

Key Takeaways and Recommendations

- Artificial Intelligence continues to grow in terms of technology, capability and applicability across fields in the United States. As the agency of invention and innovation, the PPAC recommends the USPTO continue to explore, utilize and advance AI as it relates to being **a facilitator of invention**, the **subject matter of invention**, and a **propelling tool for the USPTO enterprise effectiveness**.
- While statute, case law, and guidance provide that invention remains a human activity, nevertheless, the PPAC encourages the USPTO to continue to **examine and dissect how AI, as it evolves, may foster invention**.



AI Key takeaways and recommendations cont.

- The PPAC congratulates the AI/ET working group for issuing the guidance on “Patent Subject Matter Eligibility, Including Artificial Intelligence,” addressing a technical and intricate area. The PPAC agrees that this type of **clarification of potentially patentable matters** which are complex, operating on the edge between what may be considered the concrete versus abstract, **should continue to be pursued for additional clarification.** While many examples are provided in the issued guidance and referenced to additional sources, the PPAC encourages the USPTO to continue to develop a range of examples.
- The PPAC recommends the USPTO to continue to **issue and refine guidance documents as nuances of artificial intelligence mechanisms, algorithms and operation** continue to be revealed.
- Investing in **continued training of the USPTO personnel** - from examiner to staff to administrator - is essential to ensure continued issuance and stewardship of optimal, robust, quality patents, in an increasingly complex interdisciplinary technical area, while facilitating organizational efficiency and effectiveness.



Information Technology Management

Key Takeaways and Recommendations

- Information technology at the USPTO is a critical resource for accomplishing key goals of a robust and reliable patent system, and for serving customers and users of the USPTO services.
- Continued efforts toward strengthening and modernizing that infrastructure are ongoing and necessary to meet current cybersecurity challenges.
- The USPTO has opportunities to engage with the diverse range of users of its public IT services, in order to enhance user experiences with those services.



IT key takeaways and recommendations cont.

- The USPTO should continue its IT modernization efforts while remaining diligent about cost containment.
- The USPTO should continue to maintain and improve cybersecurity infrastructure, including its cloud migration strategy.
- The USPTO should expand upon its current practices of UX testing for public IT services.



Thank you!

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